

ing as a tea vendor. Over an year ago, his company re-opened and today he earns Rs 200 a day. The local Gujarati workers who are employed in the oxygen production industry are as happy. Kalubhai Kantaria, 35, a Bhavnagar resident, who worked as a farm labourer after his company Apollo Gases closed down three years ago, says, "This is the best option for us or else we would have to work as farm labourers."

According to Rajiv Reniwal, director, Haryana Ship Breakers, one of the oldest unit at Alang, the ups and downs of the industry are directly

“ It is a unique industry here at Alang. When the market crashes across the world, we laugh and when it smiles, we shed tears. ”

VISHNU KUMAR GUPTA, *President, Alang Ship Breakers' Association*



and a member of a committee appointed by the Supreme Court to regulate ship recycling, Alang is an ecological boon since it helps make steel from scrap whereas others exploit iron ore to make steel. Plus, ship-breaking doesn't need any water while the iron ore-based steel industry needs a whopping 15,000 to 20,000 litres of water to make one tonne of steel. Says Parmar, "There is a strong case for removing the 5 per cent import duty on the industry on ecological grounds as well on grounds of the risky nature of the business."

Significantly, Alang was selected



THE DOWNTURN FORCED THE CLOSURE OF 50 OF THE 60 OXYGEN UNITS IN BHAVNAGAR, BUT NOW ALL OF THEM HAVE BEEN REVIVED.

related to the fluctuation in freight rates. The rates go up in times of global boom thus discouraging ship owners to scrap the vessels except in most pressing circumstances when the vessel becomes a safety hazard. And when the freight rates go down during recession, the ship-breaking industry booms. A container of 10,000 MT takes about 300 workers to cut over a period of six months. But if the vessel is a tanker or a bulk cargo vessel, then it takes just four months for a 10,000-tonne ship. At the ongoing disposal rate of a scrapped ship

which is \$275 per MT, a 10,000 MT ship costs around Rs 13 crore. The total cost of the ship comes to Rs 17 crore after adding 5 per cent import duty and Rs 2,000 per tonne cost of dismantling it. Says Reniwal, "This industry is akin to trading—buying in bulk and selling in small quantities. The only difference is that it is done in a fragmented manner and not as a continuous process."

The ship breakers here are now demanding concessions from the Government on ecological grounds to make their business more attractive and also competitive with that of China and Bangladesh. According to Haresh Parmar, a top ship-breaker

as a ship-breaking hub in 1982 because of its natural conditions which are most suitable for ship-breaking—a flat coastal bed with high tidal difference between high and low tides to enable a ship to be easily beached on shore and dismantled. During high tide, the vessel can easily be anchored to the coast while during low tides, the breaking of the ship becomes easy as the water recedes and leaves flat ground. What's more, Alang doesn't have a problem of silting. During the low tide, even small screws can be easily spotted on the coast since it is flat and hard. Nothing, it seems, can beat Alang. Except maybe a global economic revival. ■